IN NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP/20/CAA/2022 in CA/43/CAA/2021

Under Section 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation

BETWEEN

M/S. CENTRAL INDIA POULTRY BREEDERS PRIVATE LIMITED
A company incorporated under Companies Act, 1956, having its registered office at, Elayamuthur, Post Gandhinagar, Udumalpet,Coimbatore,Tamil Nadu- 642 154.

...Transferor Company

And

M/S. AVIAGEN INDIA POULTRY BREEDING COMPANY PRIVATE LIMITED
CIN: U27310TN1993PTC024444,
A company incorporated under Companies Act, 1956, having its registered office at, Elayamuthur, Post Gandhinagar, Udumalpet,Coimbatore,Tamil Nadu- 642 154.

...Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order pronounced on ***10th June 2022***

CORAM:
JUSTICE (RETD.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
SHRI B. ANIL KUMAR, MEMBER (TECHNICAL)

For the Applicants : *Mr. PH Arvindh Pandian, Senior Advocate*
Mr. Pawan Jhabakh, Advocate.

ORDER

***Per:* - Justice (Retd) S. RAMATHILAGAM, MEMBER (JUDICIAL)**

Under consideration is a Joint Company Petitions in CP/20CAA/2022 filed by the above-mentioned Petitioner Companies under section 230 - 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules 2016. The instant Company Petition is in the matter of the Scheme of Amalgamation by virtue of which entire undertakings of **Central India Poultry Breeders Private Limited** (hereinafter referred to as the **"Petitioner/Transferor Company**) would stand merged, amalgamated and vested with the company known as **Aviagen India Poultry Breeding Company Private Limited** [hereinafter referred to as the **"Petitioner/Transferee Company]**, as a going concern.

2. CENTRAL INDIA POULTRY BREEDERS PRIVATE LIMITED

2.1. The Petitioner/Transferor Company viz., M/s. Central India Poultry Breeders Private Limited, was incorporated on the 6th day of December 2007, under the provisions of the Companies Act, 1956, pursuant to a certificate of incorporation issued by the Registrar of Companies, Chennai. The registered office of the Transferor Company is situated at Elayamuthur, Post Gandhinagar, Udumalpet,Coimbatore,Tamil Nadu- 642 154. The main object of

the Transferor Company is set out in clause III of its Memorandum of Association (in short **"MoA"**).

2.2. The Authorized Share Capital, Issued, Subscribed and Paid-up share capital of the Transferor Company as on 31.10.2020 as under:

<table>
<tr><th>PARTICULARS</th><th>AMOUNT (INR)</th></tr>
<tr><td>Authorized share capital</td><td></td></tr>
<tr><td>3,30,00,000 Equity Shares of INR 10 each</td><td>33,00,00,000</td></tr>
<tr><td>Total</td><td>33,00,00,000</td></tr>
<tr><td>Issued, subscribed and paid up share capital</td><td></td></tr>
<tr><td>3,13,37,706 Equity Shares of INR 10 each fully paid up
<table><tr><td>Name of Shareholders</td><td>No. Of Equity Shares Held</td></tr><tr><td>Aviagen International Holdings Limited</td><td>3,13,37,206</td></tr><tr><td>Aviagen International Finance Four Limited</td><td>500</td></tr></table></td><td>31,33,77,060</td></tr>
<tr><td>Total</td><td>31,33,77,060</td></tr>
</table>

3. AVIAGEN INDIA POULTRY BREEDING COMPANY PRIVATE LIMITED

3.1. The Petitioner/Transferee Company viz., M/s. Aviagen India Poultry Breeding Company Private Limited, was incorporated on the 6th day of December 2007, under the provisions of the Companies Act, 1956, pursuant to a certificate of incorporation issued by the Registrar of Companies, Chennai. The registered

office of the Applicant Company is situated at Elayamuthur, Post Gandhinagar, Udumalpet,Coimbatore,Tamil Nadu- 642 154. The main object of the Resulting Company is set out in clause III of its Memorandum of Association (in short "MoA").

3.2. The Authorized Share Capital, Issued, Subscribed and Paid-up share capital of the Resulting Company as on 31.10.2020 as under:

<table>
<tr><th>PARTICULARS</th><th>AMOUNT (INR)</th></tr>
<tr><td>Authorized share capital</td><td></td></tr>
<tr><td>38,00,00,000 Equity Shares of INR 10 each

Total</td><td>3,80,00,00,000

3,80,00,00,000</td></tr>
<tr><td>Issued, subscribed and paid up share capital</td><td></td></tr>
<tr><td>28,72,27,273 Equity Shares of INR 10 each fully paid up

<table><tr><td>Name of Shareholders</td><td>No. Of Equity Shares Held</td></tr><tr><td>Aviagen International Holdings Limited</td><td>28,72,26,773</td></tr><tr><td>Aviagen International Finance Four Limited</td><td>500</td></tr></table>
Total</td><td>2,87,22,72,730

2,87,22,72,730</td></tr>
</table>

4. This Tribunal vide its Order dated 15th December, 2021, passed in CA/43/CAA/2021, based on the representations made by the Petitioner, had ordered the dispensation of the convening, holding and conducting meeting of the Equity Shareholders and the Unsecured Creditors of the Transferor Company. The Transferor

Company has no secured creditors and has filed corresponding chartered accountant certificate marked as **Annexure AL** to the typed set of papers filed with Company Petition, which has been taken on record by this Bench.

5. With respect of the Transferee Company, in CA/43/CAA/2020 this Tribunal, had based on the representations made by the Petitioner, had ordered the dispensation of the convening, holding and conducting meeting of the Equity Shareholders and the Unsecured Creditors of the Transferee Company. The Transferee Company has no secured creditors and has filed corresponding chartered accountant certificate marked as **Annexure AQ** to the typed set of papers filed with Company Petition, which has been taken on record by this Bench.

6. The Board of Directors of the Transferor Company and Transefree Company vide their resolution dated **17.11.2020** respectively approved the said scheme of Amalgamation.

7. On perusal of the rationale of the scheme of Amalgamation, the Board of Directors of the respective Petitioner Companies have considered the proposed Scheme:

a. The amalgamation will achieve strength and flexibility aiding in achieving economies of scale, sourcing

benefits, more focused operational efforts, standardization and simplification of business processes and productivity improvements

b. The amalgamation will enhance reach to serve customers better thereby leading to increased business opportunities and net worth of the Transferee Company;

c. The amalgamation will enable elimination of multiple entities which will help in streamlining and better organization of the Transferee Company;

d. The Amalgamation is commercially and economically viable, feasible, fair and reasonable, and is I the interest of the Transferor company, the Transferee Company and their respective stakeholders;

e. The Amalgamation will enable enhanced scale of operations and reduction in and/or optimization in overhead costs, administrative, managerial, and other expenditure operational rationalization, organizational efficiency and optimal utilization of various resources and also benifiting from economies of scale .

8. There are no investigation proceedings pending against the companies under the provisions of the Companies Act, 1956 and or the Companies Act, 2013 or by the Registrar of the Companies, Tamil Nadu.

9. The Regional Director, Southern Region (In short, '**RD**') in its Report Affidavit (for brevity, '**Report**') dated 26th April 2022, and has observed in Paragraph 9 of the report, that the Transferee Company herein, has not provided for the payment of further fee/stamp duty for the enhanced authorized capital and that therefore, the Transferee Company herein, maybe directed to remit the difference in fee, if any, in accordance with section 232(3)(i) of the Companies Act, 2013 and to thereafter file the amended Memorandum of Association and Articles of Association with the Registrar of Companies, Chennai. It is recorded that the Transferee Company undertakes to comply with the above observation of the RD. It has been further submitted that as per the report of the RoC, Chennai, the Transferor Company and the Transferee Company are regular in filing their statutory returns and in respect of both the companies, no prosecution filed, no complaints pending and no inspection/ investigation has been conducted. Accordingly, the RD, as recorded in paragraph 13 of the said report, has decided not to make any objection to the scheme.

10. The Report of The Official Liquidator does not contain any observations. We hereby direct the Transferor Company to pay a sum of *Rs.50,000/- (Rupees Fifty Thousand Only)* to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company.

11. As mentioned in Part E of the Scheme, it appears that the Accounting Treatment is in conformity with the Accounting Standards. The Appointed date of the said Scheme is **01.04.2020**.

12. The Scheme of Amalgamation will not cast any additional burden on the stakeholders and also will not prejudicially affect the interests of any class of the creditor/s in any manner.

13. The Scheme does not require any modification as it appears to be fair and reasonable, not contrary to public policy and also not violative of any provisions of law. All the statutory compliances have been made under section 230-232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The Scheme of Amalgamation was duly approved by the shareholders of the respective companies. Taking into consideration all the above, the Company Petitions are allowed and the Scheme of Amalgamation annexed with the petition is hereby **sanctioned** which shall be binding on all the members, creditors and shareholders.

14. The Transferor Company shall be dissolved without the process of winding up from the date of filing of the certified copy of this Order with the Registrar of Companies, Chennai. Further, the Transferee Company is directed to file its amended memorandum

of Association and the Articles of Association with the Registrar of Companies, Chennai, for their record.

15. While approving the scheme as above, we further clarify that this order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

16. The Companies to the said Scheme or other persons interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme. The Petitioner Companies shall file with the Registrar of Companies, the certified copy of this Order, within 30 days of the receipt of the order.

17. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

18. Accordingly, the Scheme annexed with the petition stands sanctioned and the Company Petition Nos. CP/20/CAA/2021 stands **disposed of**.

- Sd -

ANIL KUMAR B
MEMBER (TECHNICAL)

- Sd -

Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)